

Case Study Competition — Round 2 Submission

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Submission: Investment Committee Memo — Rajesh Exports Limited

Case: *Gold Standard or Mirage?* — Forensic Equity Research Case

Recommendation: Option D — Forensic Red Flag / Uninvestable

Investment Committee Memo

To: Meera Shah, Portfolio Manager, Aarohan Capital

From: Research Analyst

Date: 30 September 2026

Subject: Rajesh Exports Limited — recommendation following the June 2026 interim regulatory order

1. Recommendation

Option D — Forensic Red Flag / Uninvestable.

Rajesh Exports should be removed from Aarohan's investable universe and the existing position liquidated on an orderly basis, effective immediately.

This is not a finding that the company has committed fraud. We are not equipped to make that finding and the regulator has not made it either. Our conclusion is narrower and more defensible: 98.34% of FY25 consolidated revenue originates in entities whose transaction-level records, the regulator says, were not furnished despite repeated requests. Without those records there is no denominator against which any valuation can be struck. A security we cannot analyse cannot hold fiduciary capital, irrespective of price.

The classification is provisional and falsifiable. Section 5 sets out the specific evidence that would return the name to the universe.

2. Situation Summary

Rajesh Exports Limited is a Bengaluru-based listed company in gold jewellery manufacturing, export and refining. Aarohan holds a small legacy position, approved on a thesis of enormous reported scale, ownership of the Swiss refiner Valcambi SA, low debt, and a valuation that screened cheap on price-to-sales and price-to-book.

That scale was always concentrated offshore. Across FY21–FY25 the listed Indian parent generated ₹26,487 crore of standalone revenue against ₹15,44,899 crore consolidated — the parent is 1.7% of the group's reported top line. In FY25 alone, standalone revenue was ₹7,027 crore against ₹4,23,099 crore consolidated, with ₹4,16,072 crore attributed to subsidiaries (Exhibit 4).

In June 2026 the securities regulator issued an interim order. Its central allegations: the overwhelming majority of consolidated revenue was attributed to overseas and step-down subsidiaries, and the company “failed to furnish verifiable transaction-level records supporting such revenues despite repeated requests”. It also alleges that approximately ₹15.15 lakh crore of subsidiary-attributed revenue across FY21–FY25 was prima facie misrepresented. The regulator compared Valcambi SA's audited standalone revenue against group-level consolidated figures and ordered a forensic examination. The findings are interim and do not constitute a final adjudication.

The company denies wrongdoing. It argues that the order is preliminary and the revenue genuine, and that Valcambi is a globally significant refinery capable of very large throughput. It also says the regulator

confused standalone value-addition figures with consolidated bullion revenue. It reiterates that it is debt-free and undertakes to address the concerns with supporting documentation (Exhibit 9).

3. Bull Case

Management's defence is strong and is stated here at full weight.

Gross bullion revenue is a real accounting phenomenon. Gold refining and bullion trading are high-throughput, low-margin activities. Where an entity takes title to metal, the full value of that metal passes through the income statement as revenue, and margins well under 1% are the norm rather than a warning sign. Nikhil Arora is right that low margin is not evidence of low quality.

The reported scale is physically achievable. At the FY25 average international gold price of about ₹70,000 per 10 grams (LBMA, converted at RBI rates), consolidated revenue of ₹4,23,099 crore implies roughly 600 tonnes of gold value. The subsidiary-only figure of ₹4,16,072 crore gives about 595 tonnes. Against 2025 world supply of 5,002 tonnes (World Gold Council), that is about 12% — large but not fanciful for one of the world's major refineries. Valcambi is a real, globally recognised refinery (Exhibit 10), not a shell. Any bear argument resting on incredulity about the headline number is weak.

The regulator's comparison may be measuring two different things. This is management's core argument and it deserves to be taken seriously. Valcambi SA's standalone statutory accounts may report revenue on a net basis — refining fees and value-addition — while the group consolidates gross bullion turnover. Under a principal-versus-agent analysis, the same physical activity can be presented either way depending on who bears price and inventory risk. If that is the explanation, then the ₹15.15 lakh crore "difference" in Exhibit 8 is not a missing ₹15.15 lakh crore; it is the arithmetic consequence of comparing a net figure with a gross one. A ratio of roughly 500x is precisely what one would expect if refining value-addition runs at about 0.2% of metal value. On the bull view, that coincidence is the tell: the gap is not an anomaly, the gap is the margin.

The order is interim. "Prima facie" is a low evidentiary threshold, and interim orders are precautionary by design. No restatement has occurred, no auditor has resigned, and no adjudication has been made.

The balance sheet buys time. A debt-free company faces no covenant breach and no forced liquidation. The failure mode of a leveraged company — a funding run that ends it before the facts emerge — is not available here. If the forensic audit vindicates management, the equity re-rates sharply from a de-rated base, and a fund that exited at the bottom will have converted a temporary dispute into a permanent loss.

4. Bear Case

The bull case has one load-bearing member: the gross-versus-net explanation. Everything else rests on it. It does not survive contact with three facts.

First, the two revenue series move in opposite directions. Refining fees are usually charged per ounce, so they track throughput, not the gold price. A rising gold price lifts gross revenue and leaves the fee flat; only lower throughput cuts the fee. Between FY21 and FY25, revenue attributed to subsidiaries rose 62%, from ₹2,56,245 crore to ₹4,16,072 crore. Over the identical period Valcambi SA's audited revenue fell 27%, from ₹586 crore to ₹427 crore (Exhibit 8). That rise roughly matches the rupee gold price (LBMA), so

volume was broadly flat — and a flat-volume fee line should not fall. Two objections must be cleared before that divergence means anything. The comparison is not like-for-like: Exhibit 8 sets all subsidiaries against one, so the activity could simply have migrated to REL Singapore or Global Gold Refineries SA. But that defence carries a price — it concedes that entities with no disclosed refining capacity (Exhibit 1) now carry the revenue, which relocates the question rather than answering it. And it is settled by a single disclosure, the segmental split by entity, which has not been provided. Gross-versus-net explains a gap in level; neither it nor migration explains why the one audited operating trail fell 43% from FY23 while attributed revenue rose 25%.

Second, the profitability trend contradicts the throughput story. A rising gold price compresses a bullion margin in percentage terms but not in rupees. Between FY23 and FY25 consolidated revenue rose 24.6% while consolidated PAT fell 93.4%, from ₹1,432 crore to ₹95 crore, taking margin from 0.42% to 0.12% to 0.02% (Exhibits 5 and 6). In FY25, ₹4,16,072 crore of subsidiary revenue produced ₹71 crore of subsidiary profit — a margin of 0.017%. In the same year the audited, Indian-regulated parent earned ₹24 crore on ₹7,027 crore, a margin of 0.34%: twenty times better, on under 2% of the turnover. The entities we can inspect behave like a real thin-margin business. The entities we cannot inspect do not. Mix does not explain it: in FY22 the subsidiaries out-earned the parent, 0.42% against 0.37%. Three innocent explanations exist for a margin collapse — inventory losses on a volatile gold price, hedging, or a one-off provision. Each is plausible, none is disclosed, and a one-off charge would not recur across two consecutive years of falling rupee profit.

Third, and decisively, physical gold leaves a paper trail. Here the bull case's own arithmetic works against it. If roughly 600 tonnes of gold genuinely moved through the group in FY25, then vault receipts, assay certificates, chain-of-custody records, shipping and insurance documentation, counterparty invoices and matching bank settlements exist in enormous volume. Much of it is held by third parties, across multiple jurisdictions. Bullion at that scale cannot move invisibly; the documentation is not a courtesy, it is operationally unavoidable. Unallocated or re-traded metal skips the vault papers, not the invoices and bank settlements. The regulator says it asked repeatedly and was not given it (Exhibit 7). A measurement-basis dispute is resolved by a single reconciliation schedule in a week. The company's reply promises documents (Exhibit 9); none is yet on record. Exhibit 12 treats refusal to share records as bearish; even short of refusal, non-production is not neutral when production would be cheap and immediately exculpatory. Confidentiality is the obvious reply, and it fails on its own terms. A reconciliation schedule and an auditor's confirmation disclose no counterparty identity, and the consolidation schedule belongs to the Indian parent, outside Swiss blocking rules. Confidentiality explains why documents are not public. It does not explain why they were not furnished on request.

The group structure compounds the problem. Large revenues are attributed to Global Gold Refineries SA — a *holding* company — rather than to the operating refinery beneath it (Exhibit 1). Groups often book sales in a trading entity while the refinery earns a fee; the company's reply (Exhibit 9) does not offer that explanation. Ananya Menon asks why the group relied on unaudited holding company consolidation numbers rather than audited subsidiary accounts. Investors were asked to trust a consolidation they were never permitted to examine.

For a long-only fund, this is a valuation problem before it is an ethics problem. Kabir Rao's chain is correct and worth restating precisely. If 98.34% of revenue is unverified, profit is unverified; if profit is unverified, book value is unverified; and if book value is unverified, price-to-sales and price-to-book are not low — they are undefined. The original thesis, that the stock screened cheap, was circular,

because the screen's inputs are exactly the figures now in dispute. Five years of ranking among India's largest listed revenue generators produced ₹3,717 crore of cumulative consolidated profit, a cumulative margin of 0.24%. We were never paid for the scale; we were only exposed to it.

Finally, capital allocation into ACC Energy Storage — an unrelated, capital-intensive battery business — while the core revenue base remains unverified is a governance signal in its own right. It is also a potential cash drain we have no basis to size.

One note for completeness: Exhibit 8's totals and its FY22 and FY25 Difference cells are each off by ₹1 crore — immaterial, but noted.

5. Key Evidence Needed

Our classification is provisional. The following evidence, independently obtained rather than management-supplied, would change it.

Evidence that would move us off Option D (Exhibit 12):

1. **A signed reconciliation from Valcambi SA's statutory accounts to the ₹4,16,072 crore FY25 attributed figure**, prepared by an independent firm and explaining the basis difference line by line. This single document resolves the core mismatch. Its continued absence is itself our strongest bearish datapoint.
2. **Customer-wise sales ledger** for the top 20 counterparties by value, together representing no less than 80% of attributed revenue, with direct third-party confirmations obtained by the auditor rather than routed through the company. This establishes that real buyers existed.
3. **Vendor-wise gold procurement ledger**, matched against **vault, assay and shipping records** evidencing physical metal movement consistent with the reported tonnage. Physical substance cannot be simulated in a ledger.
4. **Bank statements reconciling to invoices** across at least 80% of attributed revenue by value, demonstrating cash settlement rather than accounting entries, with operating cash flow reconciled to reported profit. Circular or offsetting flows among Rajesh Exports, REL Singapore, Global Gold Refineries SA and Valcambi would be disqualifying rather than supportive.
5. **Confirmation that subsidiary accounts were audited in their own jurisdictions**, with those audit reports made available — rather than consolidated from unaudited holding company numbers.
6. **A clean forensic audit report**, together with an unqualified statutory audit opinion for FY27.

Items 1 and 5 are the threshold conditions. Without them the remainder cannot be relied upon, because we would still be examining documents the company itself selected. We will re-underwrite on publication of the forensic report or at the next audited results, whichever comes first. Absent either trigger, the classification stands without further review.

Evidence that would harden Option D into permanent exclusion:

- Any revenue restatement, of any magnitude, in any year.
- Auditor resignation, or a qualified or modified audit opinion.
- Continued non-production of transaction records beyond the forensic audit's timetable.

- Discovery of unexplained related-party or circular transactions among group entities.
- Promoter-level restrictions, trading restrictions, or an adverse final adjudication.

We should be equally explicit about what would *not* change our view. That includes a further denial from management, a price decline that makes the screen look cheaper still, or the mere passage of time without an adverse finding. The absence of confirmed wrongdoing is not evidence of verifiable revenue.

6. Final Decision

Option D — Forensic Red Flag / Uninvestable. Exit the position on an orderly basis and remove the name from the investable universe pending the evidence set out in Section 5.

Taking Meera's four questions directly:

Can we trust the reported revenue? No — not in the sense that matters for valuation. This is not an allegation of fabrication. It is the observation that 98.34% of FY25 revenue sits in entities whose records have not been produced to the regulator. The one externally reconcilable datapoint available to us also moves in the wrong direction.

Does the company's explanation make sense? Partially. The gross-versus-net argument is coherent, and we have given it full weight. It fails on the facts, and it could be settled by one schedule the company has not produced.

What evidence would change our mind? Section 5 — at minimum items 1 and 5, independently obtained.

Should we hold, exit, or classify it as uninvestable? Uninvestable.

On why not Option B: waiting is not a neutral act. If the forensic audit is adverse, exit liquidity disappears into successive lower circuits and we cannot sell into the news — we bear the full downside without retaining the ability to act. On why not Option C: C exits on a judgement of unsuitability; D adds a formal gate — no re-entry at any price until the evidence in Section 5 exists.

On execution: the holding is small enough to exit over a few sessions without material price impact, and we should begin before the forensic report lands rather than after. We should realise the position rather than carry it at a written-down value, since any such mark rests on the same disputed book. The exit and its reasoning belong in the next client letter.

Option D is the only recommendation that both removes the exposure and states, in falsifiable terms, what would bring the name back. The position is small — which argues for acting now rather than tolerating the risk. The cost of exiting is low; the cost of being wrong while holding is a permanent impairment of capital we are paid to protect.

Final Recommendation Box

Option	
☐ A	Buy / Average Down
☐ B	Hold / Wait for Forensic Audit
☐ C	Exit / Avoid
☒ D	Forensic Red Flag / Uninvestable

Justification

We recommend Option D because the question is not price or business quality but whether a verifiable denominator exists.

Across FY21–FY25, between 97% and 99.2% of consolidated revenue was attributed to overseas subsidiaries. In FY25 the figure was 98.34% — ₹4,16,072 crore of ₹4,23,099 crore. The listed Indian parent — the only entity we can actually inspect — contributed 1.66%. The regulator asked for transaction-level records supporting the other 98.34% and, on repeated request, did not receive them.

Management's defence is that the regulator compared a net figure with a gross one: Valcambi SA's accounts record refining value-addition while the group consolidates full bullion turnover. We took this seriously — gold refining genuinely is a high-revenue, low-margin business in which a 500x net-to-gross ratio is unremarkable.

It fails on three facts.

First, the two series diverge in direction, not merely in level. From FY21 to FY25, revenue attributed to subsidiaries rose 62% while Valcambi's audited revenue fell 27%. A net-versus-gross presentation tracks the same underlying activity, so it explains a gap but not opposite trends. Migration of activity to another subsidiary would explain them — and is settled by a segmental split the company has not provided.

Second, profitability moves the wrong way. Consolidated revenue rose 24.6% between FY23 and FY25 while PAT fell 93.4%, taking margin from 0.42% to 0.02%. In FY25 the opaque offshore operations earned 0.017% on ₹4,16,072 crore, while the visible, audited Indian parent earned 0.34% on ₹7,027 crore — twenty times better. Mix does not explain it: in FY22 the subsidiaries out-earned the parent.

Third, the scale itself demands documentation. FY25 revenue implies roughly 600 tonnes of gold value at the FY25 international gold price (LBMA). Even re-traded or unallocated metal leaves invoices and matching bank settlements, much of them held by third parties. Those records either exist, in which case producing them ends the dispute, or they do not. The regulator says they were not furnished. Non-production is not a neutral fact when production would be cheap and exculpatory.

For a long-only fund with fiduciary obligations the consequence is precise. If revenue is unverified, profit is unverified; if profit is unverified, book value is unverified; and a price-to-book multiple built on an unverified book is not low, it is undefined. The original thesis — that the stock screened cheap — was circular, resting on the very figures now in question.

Option A needs that defence to hold; it does not. Option B is rejected because waiting carries negative optionality: an adverse forensic finding removes exit liquidity before we can act. Option C exits on a judgement; D adds a formal gate — no re-entry at any price until independent verification.

Option D is not a finding of fraud. It is the disciplined statement that this security cannot currently be analysed and therefore cannot hold client capital — accompanied by a specific, falsifiable list of evidence that would reverse the decision.

All financial figures are drawn from the exhibits supplied in the case document “Gold Standard or Mirage? — Rajesh Exports Limited, Forensic Equity Research Case” (Exhibits 1–12). Aarohan Capital and its staff are fictional. External references: gold price — LBMA Gold Price, FY25 average, converted at RBI reference rates; world supply — World Gold Council, Gold Demand Trends Full Year 2025.